



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 9

CHOOSING YOUR CUSTOMER



University of Colorado **Boulder**

Modules 2 and 3 of our course borrow heavily from the course “Entrepreneurial Strategy”, which Josh, Erin, and Scott were kind enough to allow us to use.



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ENTREPRENEURIAL STRATEGY: THESE CHOICES MATTER



CHOOSE YOUR
STRATEGY



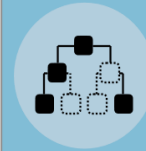
CHOOSE YOUR
CUSTOMERS



CHOOSE YOUR
TECHNOLOGY



CHOOSE YOUR
COMPETITION



CHOOSE YOUR
ORGANIZATION



VALUE CREATION HYPOTHESIS



VALUE CAPTURE HYPOTHESIS

Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

Value Chain Strategy

Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

Final Exam

Choosing your customer

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<https://www.youtube.com/watch?v=saGpYXiVDOY>

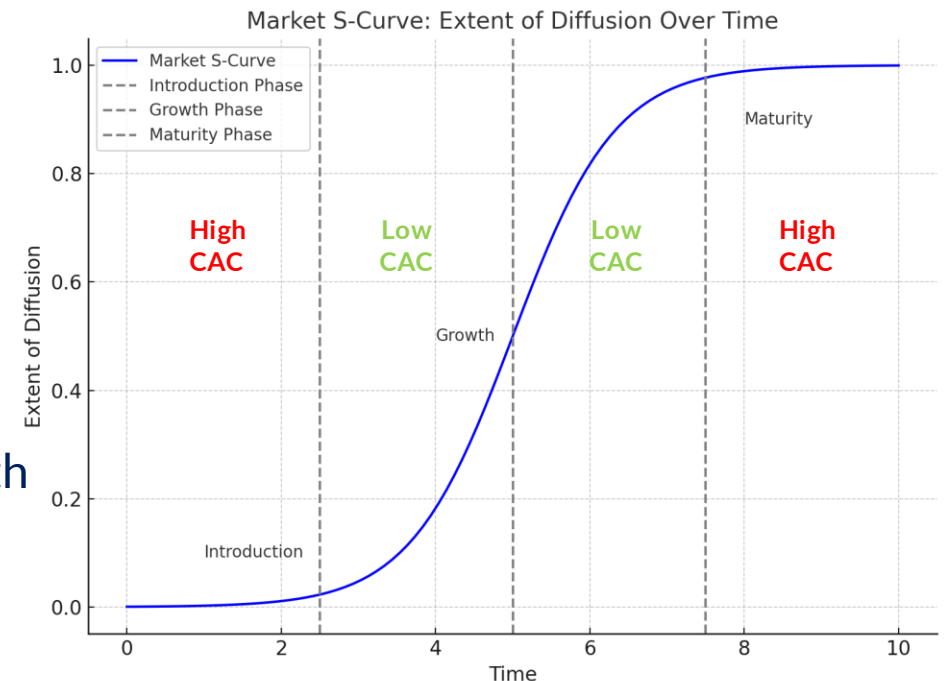
The Market S-Curve

The market S-curve illustrates how innovations spread across a market over time, highlighting different phases of adoption and the speed at which customer acquisition occurs.

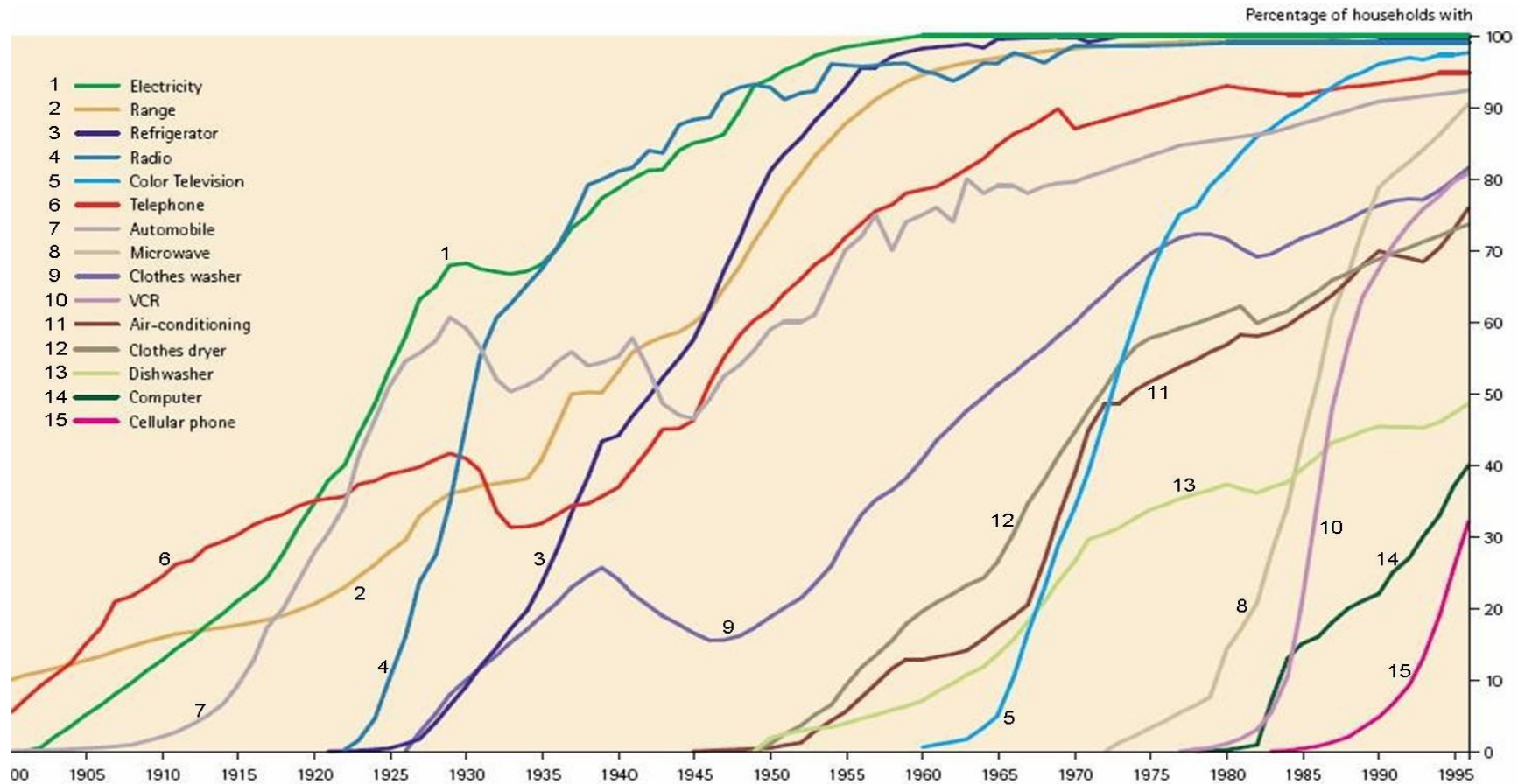
CAC (Customer Acquisition Cost): How much you spend to acquire a customer.

Phases of the S-Curve:

- 1) Introduction/Development:** Slow market penetration. Customer acquisition is gradual.
- 2) Growth:** Rapid adoption. The rate of acquisition accelerates during this phase, representing the steep rise in the curve.
- 3) Maturity:** The market approaches saturation. Acquisition growth slows as most of the market has already adopted the product.
- 4) Decline:** The curve flattens and opportunities for further customer acquisition become scarce.

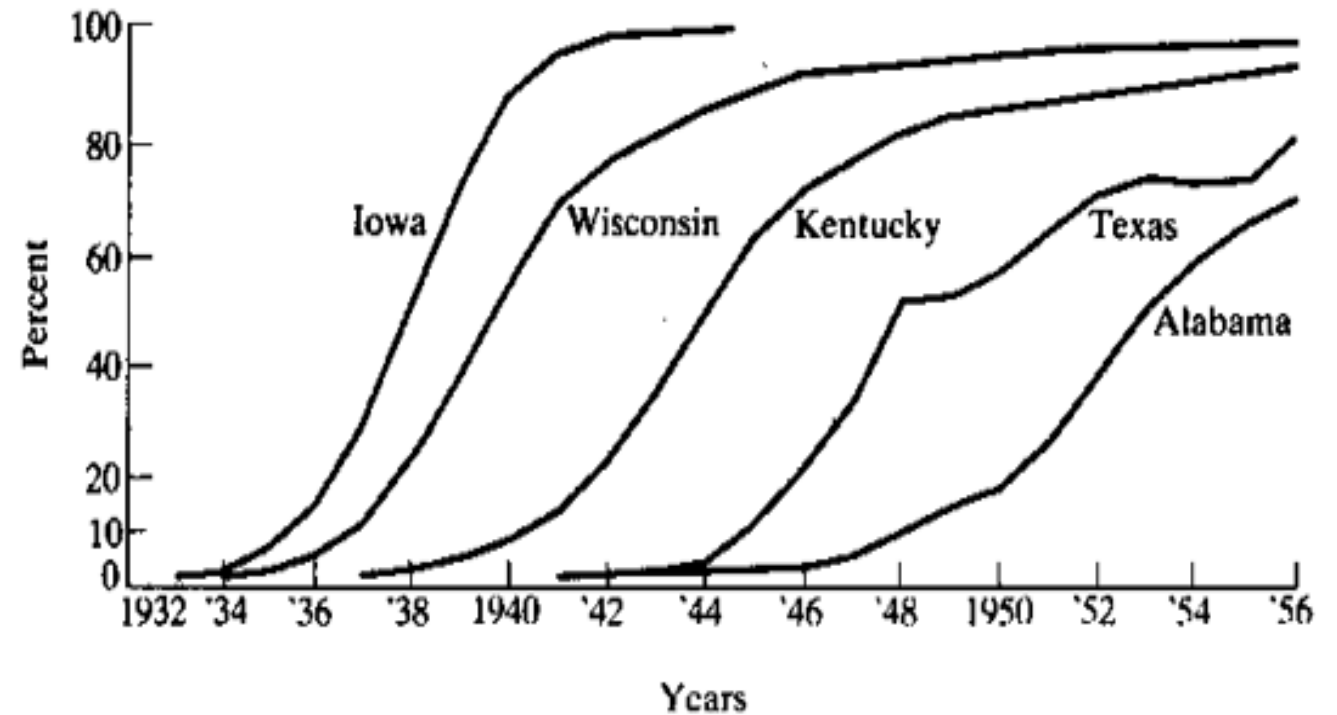


The same basic patterns hold across a wide range of technologies and products.



The Market S-Curve

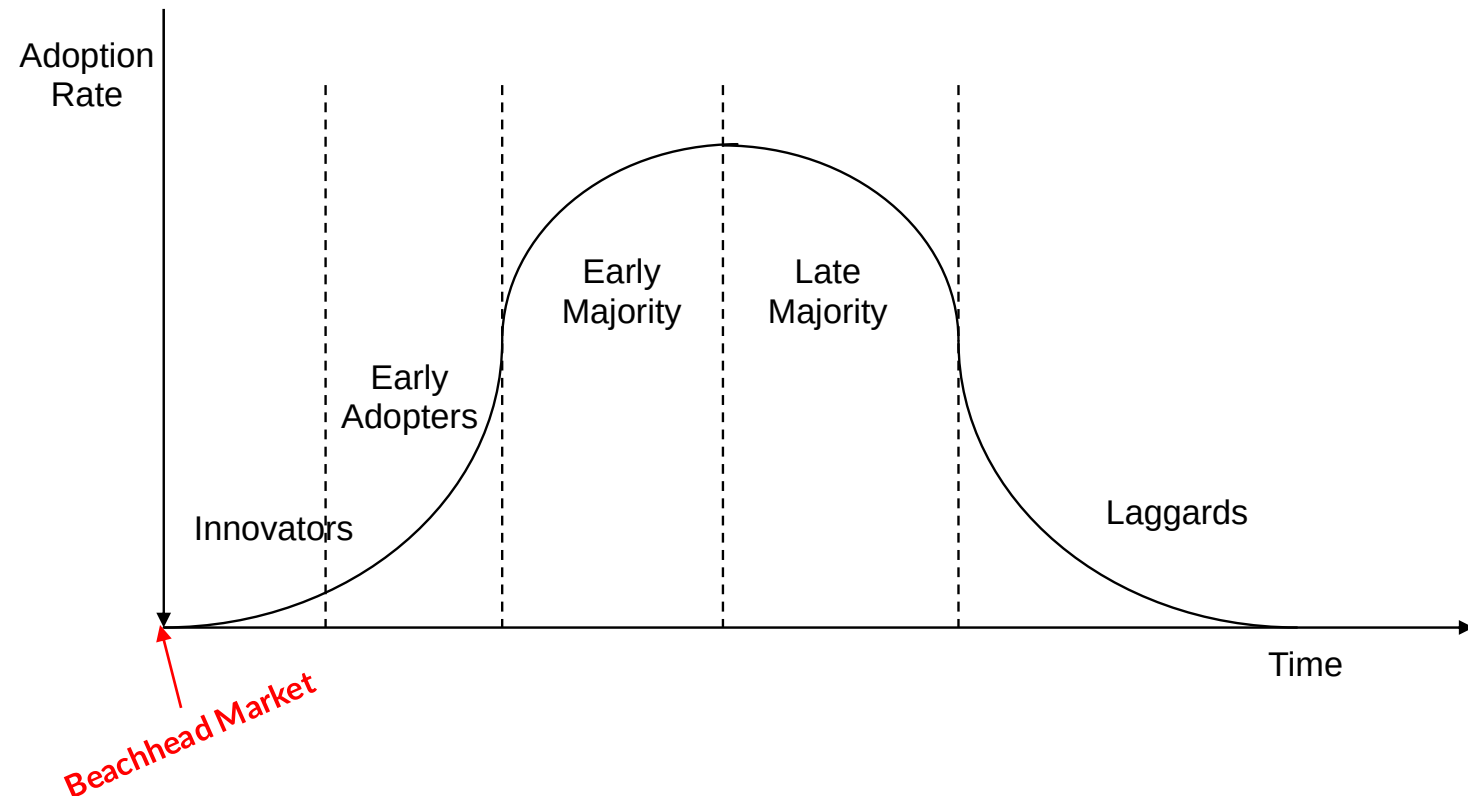
- Consider the case of hybrid corn. (Griliches, 1957)
- An important insight from the trajectory of hybrid corn diffusion across different states is that **states with steeper S-curves were typically the ones to adopt earlier**, reflecting faster and more widespread adoption.



Why does customer adoption follow an s-curve?

The Standard Technology Adoption Life Cycle Model

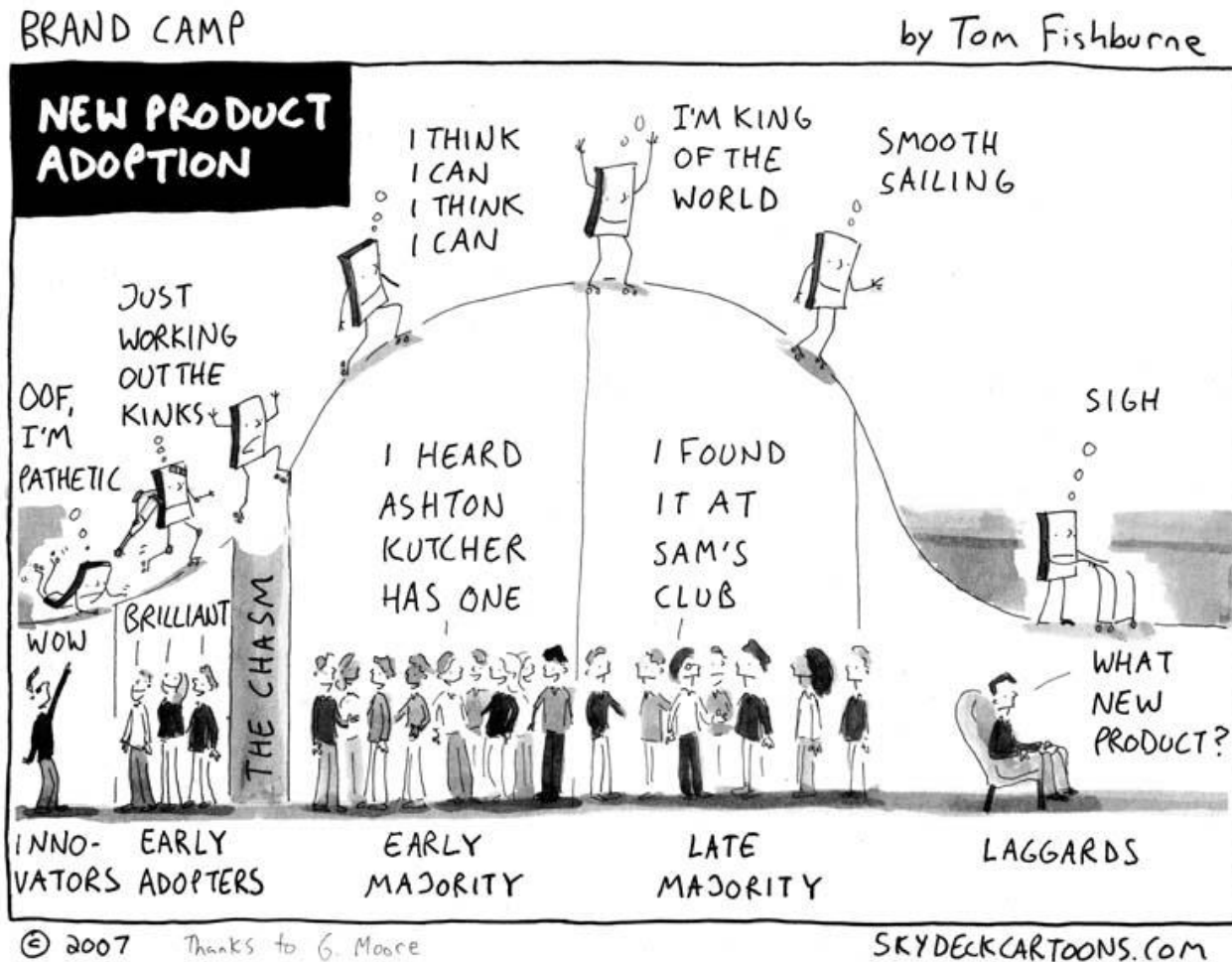
- The Market S-Curve emerges due to the presence of distinct adopter categories, each of which tends to adopt a product at different stages of its lifecycle.
- These customer categories are **qualitatively** different from each other.
- Therefore, they require different customer acquisition strategies tailored to each group's unique characteristics.



The Market S-Curve Results from Differences Across Potential Adopters

Adopter Group	Characteristics	Value Creation Drivers
Innovators	Technology for technology's sake; willing to work with bugs	Cool Technology; Ability to "Experiment"
Early Adopters	Application enthusiasts; Seeking a Revolution; Demanding but Collaborative	The Ability to Gain an <i>Advantage</i> from the New Technology; Having the Technology Before Others
Early Majority	"Main Street"; Seeking Evolution from an Existing Solution; Persuaded by <i>Similar</i> references;	Demonstrated ROI; "Plug-and-play"; low transition costs; requires standardized support
Late Majority	Well-served by existing solutions; Seeks commodity technology	Willing to Adopt the "Minimum" Required; Only Adopts Because Others Have
Laggards	Willing to pay a cost <i>not</i> to adopt resistant to technology adoption	Zero?

The Market S-Curve Results from Differences Across Potential Adopters



Crossing the Chasm

- Because value creation for early adopters is different from that of the early majority, “crossing the chasm” requires changing the value proposition for a given idea, often at the expense of your early customers.
- Crossing the chasm is facilitated through customer groups willing to embrace the product as early adopters but are also credible and engaged references for the early majority.
- Ultimately, crossing the chasm requires not simply moving along the Market S-Curve, but a change in overall commercialization strategy (marketing, distribution, pricing, etc.)

Choose your customers

- **Step #1 — Identify a set of equally viable beachhead markets:** Quantitative and qualitative assessment of the inherent value of alternative early adopters.
- **Step #2 — Strategic ranking of alternative beachheads:** The impact of alternative beachheads on follow-on markets, learning, and overall entrepreneurial strategy (*take the width of the chasm into account!*)
- **Step #3 — Testing alternative beachheads:** Consider a “critical” experimental test to distinguish among candidate beachheads.
- **Step #4 — Choose your customer:** Make a (limited but real) commitment to one customer segment in order to give your value creation hypothesis a chance.

THANK YOU!